

CHAPTER 3

Trading Terminology

The essential vocabulary of the market — from bullish and bearish to bid-offer, open interest and Value at Risk.



SPEAK THE MARKET'S LANGUAGE

Every market runs on a precise, shared vocabulary.

Misread one term and you misread the trade. This chapter covers the words a trader uses every day — to describe a view, a position, the cost of dealing, and the risk being run.

Bullish / Bearish

Long / Short

Exposure

Bid–offer

Volume & OI

Slippage

Order types

VaR

Bullish vs bearish



Bullish

expecting prices to rise

- You believe the market will go up
- Acted on by buying — going long
- A "bull market" trends higher over time

VS



Bearish

expecting prices to fall

- You believe the market will go down
- Acted on by selling — going short
- A "bear market" trends lower over time

Bullish and bearish describe a view, not yet a trade. The next step is turning that view into a position — long or short.

Long vs short

Long — you bought

You own the position and profit if the price rises. The natural trade when you are bullish.

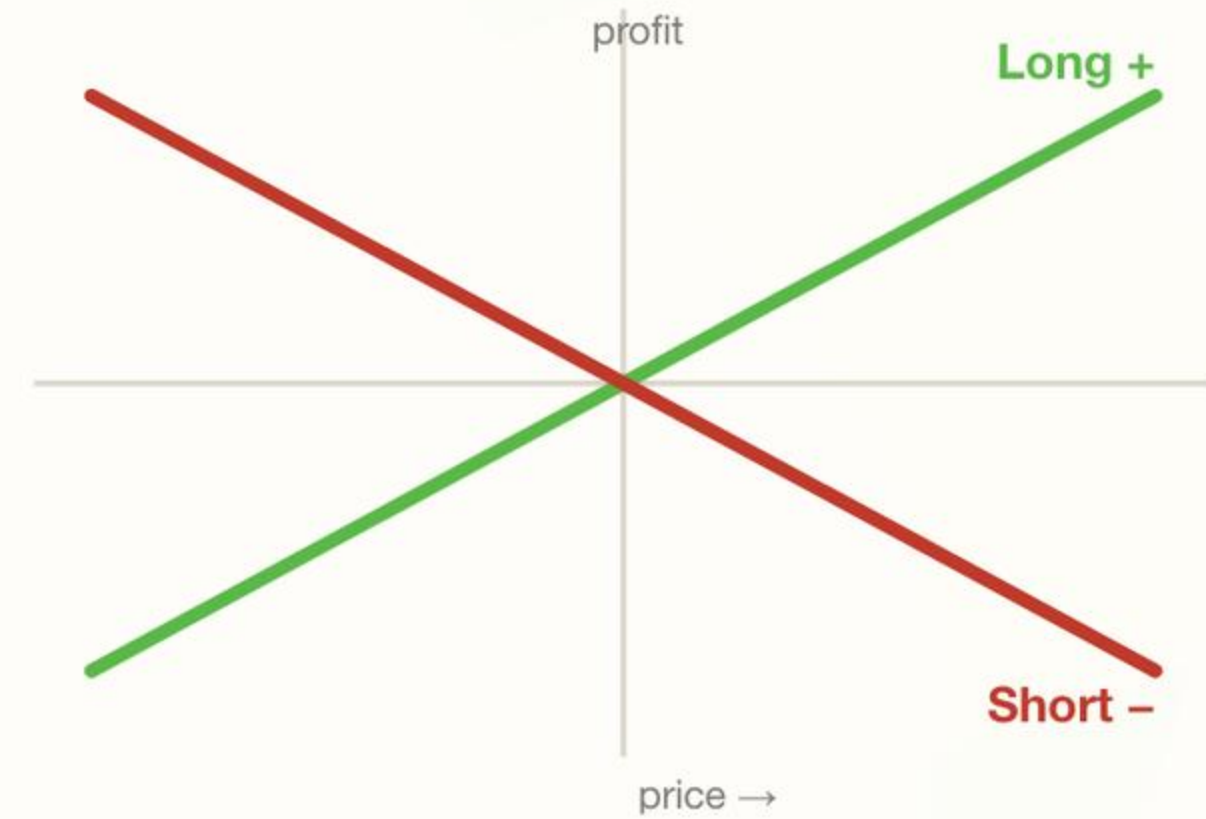
Short — you sold first

You sold a contract you do not own and profit if the price falls. The natural trade when you are bearish — and how producers hedge.

Symmetry

For every long there is an equal short. Financial contracts let you take either side with the same ease.

PAYOFF VS PRICE



Exposure

Exposure is how much you stand to gain or lose if the market moves — roughly **position size × price change**. A 100,000-barrel long gains (or loses) \$100,000 for every \$1 move.

Net vs gross

Gross exposure adds up every position; net exposure is longs minus shorts — what you are really betting on.

Directional risk

Flat-price exposure rises and falls with the outright market; a hedge is built to reduce it toward zero.

Sizing the trade

Knowing your exposure is the first step in risk management — it tells you what a given move actually costs.

Leverage amplifies it

Because only margin is posted, a small amount of capital can carry a very large exposure — for better or worse.

The bid-offer spread

Bid — where you can sell

The highest price a buyer is currently willing to pay. Hit the bid and you sell immediately.

Offer (ask) — where you can buy

The lowest price a seller will accept. Lift the offer and you buy immediately.

The spread is the cost

The gap between them is the cost of trading instantly — wide in thin markets, razor-thin in liquid ones.

BRENT — LIVE TWO-WAY PRICE



mid-price 90.00 · you cross the spread to trade now

Traded volume vs open interest



Volume

contracts traded in a period

- Counts every trade done today — a flow
- High volume = an active, liquid session
- Resets each day; measures turnover



Open interest

contracts still open

- Counts positions not yet closed — a stock
- Rising OI = new money entering the market
- Changes only when positions open or close

≠ **A single trade can do different things:** a new buyer + new seller lifts OI; two existing holders closing lowers it; one passing to another leaves OI flat. Volume rises in every case.

Types of orders

Market speed

Execute right now at the best available price. You get filled fast, but accept whatever the market offers.

Stop protection

Becomes a market order once price hits your trigger — used to cap a loss or enter on a breakout.

Limit price

Trade only at your set price or better. You control the price, but may not get filled at all.

Stop-limit control

A stop that turns into a limit order — triggers at one price but won't fill beyond a worst price you set.

Slippage & price quality

SLIPPAGE — INTENDED VS FILLED

YOU INTEND

90.00



YOU GET FILLED

90.08

Slippage = 0.08 — the market moved while your order travelled

Slippage

The gap between the price you expected and the price you actually got — worst in fast or thin markets.

Firm price

A quote you can actually deal on — binding for size, here and now.

Indicative price

A reference "for information only" — it shows roughly where the market is, but you cannot trade on it.

PUTTING A NUMBER ON RISK

Value at Risk (VaR)

DISTRIBUTION OF DAILY P&L



One sentence

"We are 95% confident we will not lose more than \$1M in a day." That \$1M is the VaR.

Three ingredients

A horizon (1 day), a confidence level (95–99%), and an amount (\$). Change one and the number changes.

Its blind spot

VaR says nothing about how bad the worst 5% can get — tail events can exceed it sharply.

CONCLUSION — FLUENCY FIRST

The vocabulary is the foundation of every trade.

View, then position

Bullish or bearish is a view; long or short turns it into a trade with real exposure.

Dealing has a cost

Bid-offer, slippage and firm-vs-indicative prices decide what you really pay to trade.

Measure the risk

Volume, open interest and VaR turn market activity and danger into numbers you can manage.